

General Conditions of Contract

1. Definitions and Interpretations

In these Conditions, the following words and expressions shall have the meanings assigned to them except where the context otherwise requires.

2. Engineer-in-Charge

The Engineer-in-Charge shall be the officer appointed by the Employer for the purpose of this Contract.

3. Payment Terms

The Employer shall pay the Contractor the amount due under the Interim Payment Certificates within 45 days of the date of issue of the certificate. No interest shall be payable on delayed payments until the delay exceeds 60 days, after which interest at 8% per annum shall be payable on the delayed amount.

4. Price Escalation

The contract price shall be a firm price. No price escalation or variation in the rates, except for statutory variations in taxes and duties, shall be allowed during the entire contract period.

5. Liquidated Damages

If the Contractor fails to complete the works within the time for completion, the Contractor shall pay to the Employer liquidated damages at the rate of 0.5% of the contract price per week of delay. The maximum aggregate of liquidated damages shall be limited to 5% of the contract price.

6. Defect Liability and Retention

The Defects Liability Period shall be 24 months from the date of practical completion. During this period, the Contractor shall remedy any defect at its own cost. The Employer shall retain 5% of each Interim Payment Certificate as retention money until the issue of the Defects Liability Certificate.

7. Termination for Convenience

The Employer may, by giving 30 days' written notice, terminate this Contract for its own convenience. In the event of such termination, the Contractor shall be paid for the works executed up to the date of termination and reasonable demobilisation costs as certified by the Engineer-in-Charge.

8. Insurance

The Contractor shall take out and maintain All Risks Insurance, Third Party Insurance, and Workmen's Compensation Insurance for the full contract value.

9. Dispute Resolution

Any dispute arising out of or in connection with this Contract shall be resolved through arbitration in accordance with the Arbitration and Conciliation Act, 1996, by a sole arbitrator mutually appointed by the parties.